EQUITY RESEARCH · COMPANY DEEP DIVE

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information

Large Cap (>$200B) · Report Date: October 19, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-19

HOLD

Composite · Valuation: HOLD

Target $347.48 · +0.4% upside

Price $345.98

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target $347.48 (+0.4% vs $345.98); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT $347.48	45%
FSA	Strong	Health +0.40 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.40 · 12m +37%	15%
Composite	HOLD	Score +0.21 · 75% confluence	—

Solid financial statement profile.

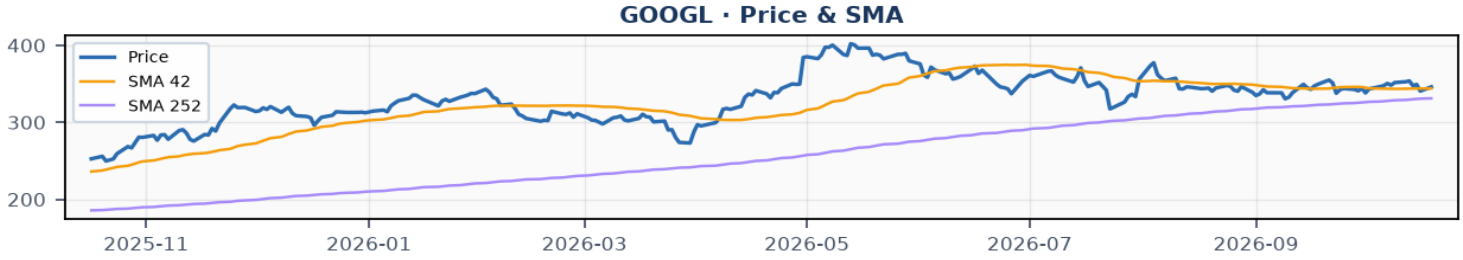
INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **HOLD** rating; blended target $347.48. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$4.23T	Shares Out.	5867.2M
52-Week Range	$244.15 – $408.61	P/E (TTM)	17.4x
P/B	6.8x	Beta	1.21
Avg Volume	26.76M	Analyst Rec.	Strong Buy
Revenue (TTM)	$445.87B	Rev Growth	+24.2%
Op. Margin	34.0%	FCF (TTM)	$73.27B
Gross Margin	60.9%	ROE	48.7%
EV/EBITDA	23.5x	Debt/Equity	18.9%
EPS (TTM)	$19.93	Div Yield	26.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	350,018	402,836	500,322	588,829	666,160
Revenue Growth (%)	N/A	15.1%	24.2%	17.7%	13.1%
Net Income ($M)	100,118	132,170	164,155	193,194	218,566
Gross Margin (%)	58.2%	59.7%	60.9%	60.9%	60.9%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
EPS ($)	17.06	22.53	27.98	32.93	37.25
P/E (x)	20.28	15.36	12.37	10.51	9.29

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$344.01	Short-term trend	**12m Momentum**	+36.9%	
SMA (252d)	$331.14	Long-term trend	**3m Momentum**	+1.2%	
RSI (14d)	55.0	Momentum oscillator	**Ann. Volatility**	32.2%	
Trend	Bullish		**Sharpe Ratio**	0.49	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-44.3%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	+61.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=$344.01, SMA252=$331.14	**Quant Score**	+0.40	POSITIVE
			SMA Backtest (ann.)	29.1%	B&H; 36.7%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$263.58	-23.8%	—	Not in blend
Comps — Blended	$332.91	-3.8%	85%	Included in blend
Analyst consensus	$430.05	+24.3%	15%	Included in blend
Blended target	$347.48	+0.4%	100%	Comps 85% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.66%	4.00%	10.00%	$1.55T	$263.58	-23.8%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	$1.80T	26.6x	16.7x	29.8%	+28.0%
NFLX	Netflix, Inc.	$290.54B	21.9x	20.5x	28.2%	+13.4%
DIS	Walt Disney Company (T	$189.66B	22.6x	11.4x	8.7%	+6.8%
SNAP	Snap Inc.	$10.74B	N/A	-81.6x	-4.9%	+18.9%
GOOGL*	Alphabet Inc.	$4.23T	17.4x	23.5x	54.8%	+24.2%

* Subject company. Trades at a discount on p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (24.2% YoY); High operating leverage (34.0% margin); Above-market volatility (β=1.21) · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.